

CONSOLIDATED BALANCE SHEET (CONTD.)

as at March 31, 2026

	Note	Page	As at March 31, 2026	As at March 31, 2025
(₹ crore)				
Equity and liabilities				
IV Equity				
(a) Equity share capital	19	F194	1,247.44	1,247.44
(b) Other equity	20	F197	1,00,920.21	89,922.19
Equity attributable to owners of the Company			1,02,167.65	91,169.63
(c) Non-controlling interests	21	F202	1,612.80	183.15
Total equity			1,03,780.45	91,352.78
V Non-current liabilities				
(a) Financial liabilities				
(i) Borrowings	22	F204	63,753.67	68,551.81
(ii) Lease liabilities			6,232.99	4,832.71
(iii) Derivative liabilities			-	206.38
(iv) Other financial liabilities	23	F211	1,262.62	1,294.17
(b) Provisions	24	F211	5,989.63	5,806.50
(c) Retirement benefit obligations	11	F185	3,289.63	3,272.01
(d) Deferred income	25	F213	1,598.57	764.91
(e) Deferred tax liabilities	12	F186	15,332.24	14,430.15
(f) Other liabilities	26	F214	3,096.67	2,789.83
Total non-current liabilities			1,00,556.02	1,01,948.47
VI Current liabilities				
(a) Financial liabilities				
(i) Borrowings	22	F204	21,202.72	20,412.00
(ii) Lease liabilities			1,192.30	1,004.53
(iii) Trade payables	27	F214		
(a) Total outstanding dues of micro and small enterprises			1,898.89	1,510.71
(b) Total outstanding dues of creditors other than micro and small enterprises			32,613.49	27,465.15
(c) Acceptances			297.76	338.52
(iv) Derivative liabilities			260.71	391.18
(v) Other financial liabilities	23	F211	17,509.83	15,820.51
(b) Provisions	24	F211	6,048.20	3,888.29
(c) Retirement benefit obligations	11	F185	148.63	154.62
(d) Deferred income	25	F213	88.09	30.71
(e) Current tax liabilities			2,470.72	1,775.52
(f) Other liabilities	26	F214	13,186.30	13,301.81
Total current liabilities			96,917.64	86,093.55
Total liabilities			1,97,473.66	1,88,042.02
Total equity and liabilities			3,01,254.11	2,79,394.80
Notes forming part of the consolidated financial statements	1-55			

In terms of our report attached

For and on behalf of the Board of Directors

For **Price Waterhouse & Co Chartered Accountants LLP**
Firm Registration Number:
304026E/E-300009

sd/-
N. Chandrasekaran
Chairman
DIN: 00121863

sd/-
Noel Naval Tata
Vice-Chairman
DIN: 00024713

sd/-
Deepak Kapoor
Independent Director
DIN: 00162957

sd/-
V. K. Sharma
Independent Director
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Bharti Gupta Ramola
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Dr. Shekhar C. Mande
Independent Director
DIN: 10083454

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Subramanian Vivek
Partner
Membership Number 100332

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Pramod Agrawal
Independent
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DIN: 00279727

sd/-
Saurabh Agrawal
Non-Executive
Director
DIN: 02144558

sd/-
T. V. Narendran
Chief Executive Officer
& Managing Director
DIN: 03083605

sd/-
Koushik Chatterjee
Executive Director
& Chief Financial Officer
DIN: 00004989

sd/-
Parvatheesam Kanchinadham
Company Secretary and
Chief Legal Officer
ACS: 15921

Mumbai, May 15, 2026

CONSOLIDATED STATEMENT OF PROFIT AND LOSS

for the year ended March 31, 2026

	Note	Page	Year ended March 31, 2026	(₹ crore) Year ended March 31, 2025
I Revenue from operations	28	F216	2,32,139.94	2,18,542.51
II Other income	29	F217	1,401.78	1,540.53
III Total income			2,33,541.72	2,20,083.04
IV Expenses:				
(a) Cost of materials consumed			74,468.93	77,079.62
(b) Purchases of stock-in-trade			18,159.14	18,017.68
(c) Changes in inventories of finished and semi-finished goods, stock-in-trade and work-in-progress			989.62	(96.65)
(d) Employee benefits expense	30	F217	25,998.98	24,888.99
(e) Finance costs	31	F218	7,167.06	7,340.95
(f) Depreciation and amortisation expense	32	F218	11,954.51	10,421.33
(g) Other expenses	33	F218	79,139.21	74,699.99
			2,17,877.45	2,12,351.91
Less: Expenditure (other than finance cost) transferred to capital account			968.38	1,345.57
Total expenses			2,16,909.07	2,11,006.34
V Share of profit/(loss) of joint ventures and associates			368.50	190.81
VI Profit/(loss) before exceptional items and tax (III-IV+V)			17,001.15	9,267.51
VII Exceptional items:	34	F219		
(a) Profit/(loss) on sale of subsidiaries/non-current investments/business undertakings/non-current assets			308.35	54.84
(b) Provision for impairment of non-current assets			(323.77)	(119.18)
(c) Statutory impact of new labour codes			(85.37)	-
(d) Restructuring, redundancy and other provisions (net)			(1,858.47)	(633.95)
(e) Contribution to electoral trusts			-	(173.11)
(f) Fair value gain/(loss) on non-current investments (net)			926.80	16.76
Total exceptional items			(1,032.46)	(854.64)
VIII Profit/(loss) before tax (VI+VII)			15,968.69	8,412.87
IX Tax expense:	12	F186		
(a) Current tax			5,334.63	3,563.77
(b) Current tax in relation to earlier years			(73.26)	(7.79)
(c) Deferred tax			(178.50)	1,683.11
Total tax expense			5,082.87	5,239.09
X Profit/(loss) for the year (VIII-IX)			10,885.82	3,173.78

CONSOLIDATED STATEMENT OF PROFIT AND LOSS (CONTD.)

for the year ended March 31, 2026

	Note	Page	Year ended March 31, 2026	(₹ crore) Year ended March 31, 2025
XI Other comprehensive income				
A. (i) Items that will not be reclassified to profit and loss:				
(a) Remeasurement gain/(loss) on post-employment defined benefit plans			442.76	(74.07)
(b) Fair value changes of investments in equity shares			18.44	(104.78)
(c) Share of equity accounted investees			0.88	(0.60)
(ii) Income tax on items that will not be reclassified to profit and loss			(107.50)	(6.22)
B. (i) Items that will be reclassified to profit and loss:				
(a) Foreign currency translation differences			4,785.85	438.24
(b) Fair value changes of cash flow hedges			384.79	(15.60)
(c) Share of equity accounted investees			19.67	10.08
(ii) Income tax on items that will be reclassified to profit and loss			(52.78)	26.25
Total other comprehensive income for the year			5,492.11	273.30
XII Total comprehensive income for the year (X+XI)			16,377.93	3,447.08
XIII Profit/(loss) for the year attributable to:				
Owners of the Company			10,793.87	3,420.51
Non-controlling interests			91.95	(246.73)
			10,885.82	3,173.78
XIV Total comprehensive income for the year attributable to:				
Owners of the Company			16,150.18	3,632.78
Non-controlling interests			227.75	(185.70)
			16,377.93	3,447.08
XV Earnings per share	35	F220		
Basic (₹)			8.65	2.74
Diluted (₹)			8.65	2.74
Notes forming part of the consolidated financial statements	1-55			

In terms of our report attached

For and on behalf of the Board of Directors

For **Price Waterhouse & Co Chartered Accountants LLP**
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sd/-
Parvatheesam Kanchinadham
Company Secretary and
Chief Legal Officer
ACS: 15921

Mumbai, May 15, 2026

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

for the year ended March 31, 2026

A. Equity share capital

(₹ crore)		
Balance as at April 1, 2025	Changes during the year	Balance as at March 31, 2026
1,247.44	-	1,247.44

(₹ crore)		
Balance as at April 1, 2024	Changes during the year	Balance as at March 31, 2025
1,247.44	-	1,247.44

B. Other equity

(₹ crore)						
	Retained earnings [refer note 20A, page F197]	Items of other comprehensive income [refer note 20B, page F197]	Other consolidated reserves [refer note 20C, page F198]	Other equity attributable to the owners of the Company	Non- controlling interests	Total
Balance as at April 1, 2025	33,698.53	6,971.74	49,251.92	89,922.19	183.15	90,105.34
Profit/(loss) for the year	10,793.87	-	-	10,793.87	91.95	10,885.82
Other comprehensive income for the year	338.63	5,017.68	-	5,356.31	135.80	5,492.11
Total comprehensive income for the year	11,132.50	5,017.68	-	16,150.18	227.75	16,377.93
Dividend ⁽ⁱ⁾	(4,489.87)	-	-	(4,489.87)	-	(4,489.87)
Capital contribution	61.83	-	-	61.83	-	61.83
Transfers within equity	(4.07)	-	4.07	-	-	-
Additions relating to acquisitions	-	-	-	-	503.69	503.69
Disposal of group undertakings	-	-	-	-	1.66	1.66
Adjustment for changes in ownership interests	(724.12)	-	-	(724.12)	696.55	(27.57)
Balance as at March 31, 2026	39,674.80	11,989.42	49,255.99	1,00,920.21	1,612.80	1,02,533.01

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY (CONTD.)

for the year ended March 31, 2026

(₹ crore)

	Retained earnings [refer note 20A, page F197]	Items of other comprehensive income [refer note 20B, page F197]	Other consolidated reserves [refer note 20C, page F198]	Other equity attributable to the owners of the Company	Non-controlling interests	Total
Balance as at April 1, 2024	34,815.73	6,708.98	49,263.61	90,788.32	396.98	91,185.30
Profit/(loss) for the year	3,420.51	-	-	3,420.51	(246.73)	3,173.78
Other comprehensive income for the year	(50.49)	262.76	-	212.27	61.03	273.30
Total comprehensive income for the year	3,370.02	262.76	-	3,632.78	(185.70)	3,447.08
Dividend ⁽ⁱ⁾	(4,489.87)	-	-	(4,489.87)	(0.59)	(4,490.46)
Transfers within equity	(1.08)	-	1.08	-	-	-
Adjustment for changes in ownership interests	3.73	-	(12.75)	(9.02)	(25.82)	(34.84)
Other movements within equity	-	-	(0.02)	(0.02)	(1.72)	(1.74)
Balance as at March 31, 2025	33,698.53	6,971.74	49,251.92	89,922.19	183.15	90,105.34

- (i) Dividend paid during the year ended March 31, 2026 is **₹3.60** (March 31, 2025: ₹3.60) per Ordinary Share of (face value ₹1 each, fully paid up).

C. Notes forming part of the consolidated financial statements

Note 1-55

In terms of our report attached

For and on behalf of the Board of Directors

For **Price Waterhouse & Co Chartered Accountants LLP**
Firm Registration Number:
304026E/E-300009

sd/-
N. Chandrasekaran
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Executive Director & Chief Financial Officer
DIN: 00004989

sd/-
Parvatheesam Kanchinadham
Company Secretary and Chief Legal Officer
ACS: 15921

Mumbai, May 15, 2026

CONSOLIDATED STATEMENT OF CASH FLOWS

for the year ended March 31, 2026

(₹ crore)

	Year ended March 31, 2026	Year ended March 31, 2025
(A) Cash flows from operating activities:		
Profit/(Loss) before tax	15,968.69	8,412.87
Adjustments for:		
Depreciation and amortisation expense	11,954.51	10,421.33
Dividend income	(106.76)	(71.41)
(Gain)/loss on sale of property, plant and equipment including intangible assets (net of loss on assets scrapped/written off)	(61.17)	(225.98)
Exceptional (income)/expenses	1,032.46	854.64
Interest income and income from current investments	(906.49)	(1,037.18)
Finance costs	7,167.06	7,340.95
Foreign exchange (gain)/loss	(298.19)	(15.85)
Share of profit or loss of joint ventures and associates	(368.50)	(190.81)
Other non-cash items	(162.87)	(1,559.54)
	18,250.05	15,516.15
Operating profit before changes in non-current/current assets and liabilities	34,218.74	23,929.02
Adjustments for:		
Non-current/current financial and other assets	(446.47)	1,137.18
Inventories	1,290.06	4,775.95
Non-current/current financial and other liabilities/provisions	4,598.69	(3,706.11)
	5,442.28	2,207.02
Cash generated from operations	39,661.02	26,136.04
Income taxes paid (net of refund)	(4,596.56)	(2,998.46)
Net cash from/(used in) operating activities	35,064.46	23,137.58
(B) Cash flows from investing activities:		
Purchase of capital assets	(14,559.05)	(15,670.52)
Grant received on acquisition of property, plant and equipment	533.30	-
Sale of capital assets	862.76	513.95
Advance received against sale of property, plant and equipment	4.60	750.00
Purchase of non-current investments	(254.69)	(392.80)
Sale of non-current investments	19.86	22.75
(Purchase)/sale of current investments (net)	(298.24)	531.20
Loans given	(32.07)	(2.45)
Repayment of loans given	43.74	-
Principal receipts under sublease	10.07	1.97
Fixed/restricted deposits placed with banks	(1,147.14)	(951.91)
Fixed/restricted deposits realised from banks	1,089.57	467.32
Interest received	649.52	616.38
Dividend received from associates and joint ventures	300.90	222.10
Dividend received from others	106.76	71.41
Acquisition of subsidiaries/undertakings ⁽ⁱ⁾	(2,845.91)	(6.00)
Sale of subsidiaries/undertakings ⁽ⁱⁱ⁾	610.71	28.10
Net cash from/(used in) investing activities	(14,905.31)	(13,798.50)

CONSOLIDATED STATEMENT OF CASH FLOWS (CONTD.)

for the year ended March 31, 2026

(₹ crore)

	Year ended March 31, 2026	Year ended March 31, 2025
(C) Cash flows from financing activities:		
Proceeds from long-term borrowings (net of issue expenses)	12,092.34	23,893.04
Repayment of long-term borrowings	(23,896.78)	(16,078.62)
Proceeds/(repayment) of short-term borrowings (net)	3,861.16	(1,518.09)
Principal Payment of lease liabilities	(1,162.14)	(971.38)
Acquisition of additional stake in subsidiaries	(19.69)	(30.03)
Amount received/(paid) on utilisation/cancellation of derivatives	293.41	311.68
Interest paid	(8,065.55)	(8,119.17)
Dividend paid	(4,489.87)	(4,489.87)
Net cash from/(used in) financing activities	(21,387.12)	(7,002.44)
Net increase/(decrease) in cash or cash equivalents	(1,227.97)	2,336.64
Opening cash and cash equivalents (refer note 16, page F192)	9,604.96	7,080.84
Effect of exchange rate on translation of foreign currency cash and cash equivalents	507.96	187.48
Closing cash and cash equivalents (refer note 16, page F192)	8,884.95	9,604.96

- (i) During the year ended 31.03.2025, ₹6.00 crore was paid in respect of deferred consideration on acquisition of a subsidiary.
- (ii) During the year ended 31.03.2025, ₹28.10 crore was received in respect of deferred consideration on disposal of an undertaking.
- (iii) Significant non-cash movements in borrowings and lease liabilities during the year include:
- exchange loss (including translation) **₹3,535.70** crore (2024-25: ₹930.58 crore).
 - amortisation/effective interest rate adjustments for upfront fees and others **₹244.75** crore (2024-25: ₹251.29 crore).
 - adjustment to lease liabilities (including impact of acquisition and sale of subsidiaries), increase **₹2,320.84** crore (2024-25: ₹1,283.69 crore).
 - adjustment in borrowings due to acquisition and sale of subsidiaries of subsidiaries, increase **₹647.48** crore (2024-25: Nil).
- (iv) During the year ended 31.03.2025, other non-cash items represented reversal of provision for claims no longer required and provision for write down of inventory to net realisable value.

C. Notes forming part of consolidated financial statements

Note 1-55

In terms of our report attached

For and on behalf of the Board of Directors

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Mumbai, May 15, 2026

NOTES

forming part of the consolidated financial statements

1. Company Information

Tata Steel Limited ("the Company") is a public limited Company incorporated in India with its registered office in Bombay House 24, Homi Modi Street Fort, Mumbai-400 001, Maharashtra, India. The Company is listed on the BSE Limited (BSE) and the National Stock Exchange of India Limited (NSE).

The Company and its subsidiaries (collectively referred to as 'the Group') have presence across the entire value chain of steel manufacturing from mining and processing iron ore and coal to producing and distributing finished products. The Group offers a broad range of steel products including a portfolio of high value-added downstream products such as hot rolled, cold rolled, coated steel, rebars, wire rods, tubes and wires.

The consolidated financial statements as at March 31, 2026 present the financial position of the Group as well as its interests in associate companies and joint arrangements. The list of entities consolidated is provided in note 55, page F267.

The presentation currency of the Group is Indian Rupee ("₹") and all the values are rounded off to the nearest two decimal places, unless other wise indicated.

As on March 31, 2026, Tata Sons Private Limited owns 31.76% of the Ordinary Shares of the Company, and has the ability to influence the Group's operations.

The consolidated financial statements for the year ended March 31, 2026 were approved by the Board of Directors and authorised for issue on May 15, 2026.

2. Material accounting policies

The material accounting policies applied by the Group in the preparation of its consolidated financial statements are listed below. Such accounting policies have been applied consistently to all the periods presented in these consolidated financial statements, unless otherwise indicated.

(a) Statement of compliance

The consolidated financial statements have been prepared in accordance with the Indian Accounting Standards (referred to as "Ind AS") prescribed under section 133 of the Companies Act, 2013 read with Companies (Indian Accounting Standards) Rules, as amended from time to time and other relevant provisions of the Act.

(b) Basis of preparation

The consolidated financial statements have been prepared under the historical cost convention with the exception of certain assets and liabilities that are required to be carried at fair value by Ind AS.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

All assets and liabilities have been classified as current and non-current as per the Group's normal operating cycle which is based on the nature of businesses and the time elapsed between deployment of resources and the realisation of cash and cash equivalents. The Group has considered an operating cycle of 12 months.

(c) Use of estimates and critical accounting judgements

In the preparation of the consolidated financial statements, the Group makes judgements in the application of accounting policies; and estimates and assumptions which affects the carrying values of assets and liabilities that are not readily apparent from other sources.

The estimates and associated assumptions are based on historical experience, and other factors that are considered to be relevant. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and future periods affected.

The Group uses the following critical accounting estimates and judgements in preparation of its consolidated financial statements.

Impairment

The Group estimates the recoverable value of the cash generating unit (CGU) based on future cash flows after considering current economic conditions and trends, estimated future operating results and growth rates, anticipated future economic and regulatory conditions and the impact of climate change which may result in a change of current production process given the decarbonisation plan of the Group. The estimated cash flows are developed using internal forecasts. The cash

NOTES

forming part of the consolidated financial statements

2. Material accounting policies (Contd.)

flows are discounted using a suitable discount rate in order to calculate the present value. Further details of the Group's impairment review and key assumptions are set out in note 3, page F164, note 4, page F170 note 5, page F173 and note 6, page F174.

Impairment of financial assets (other than subsequent measurement at fair value)

Measurement of impairment of financial assets require use of estimates and judgements, which have been explained in the note on financial instruments under impairment of financial assets (refer note 2(n)), page F157.

Useful lives of property, plant and equipment, right-of-use and intangible assets

The Group reviews the useful life of property, plant and equipment, right-of-use assets and intangible assets at the end of each reporting period. This reassessment may result in change in depreciation and amortisation expense in future periods. The policy has been detailed out in note 2(g), page F153, note 2(l), page F156 and note 2(m), page F156.

Valuation of deferred tax assets

The Group assesses the recoverability of deferred tax assets based on future taxable income projections, which are uncertain and may be subject to changes over time. Judgement is required to assess the impact of such changes on the measurement of these assets and the time frame for their utilisation. The Group reviews the carrying amount of deferred tax assets at the end of each reporting period. The policy has been detailed in note 2(t), page F161 and its further information are set out in note 12, page F186.

Provisions and contingent liabilities

A provision is recognised when the Group has a present obligation, legal or constructive, as a result of past events and it is probable that outflow of resources will be required to settle the obligation, in respect of which a reliable estimate can be made. They include provisions on decommissioning, site restoration and environmental provisions as well, which may change where changes in estimated reserves affect expectations about the timing or cost of these activities. All provisions are reviewed at each balance sheet date and adjusted to reflect the current best estimates.

The Group uses significant judgements to assess contingent liabilities. Contingent liabilities are disclosed when there is a possible obligation arising from past events, the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Group or a present obligation that arises from past event where it is either not probable that an outflow of resources will be utilised to settle the obligation or a reliable estimate of the amount cannot be made. Contingent assets are neither recognised nor disclosed in the consolidated financial statements. Further details are set out in note 24, page F211 and note 37(A), page F232.

Fair value measurements of financial instruments

When the fair value of financial assets and financial liabilities recorded in the balance sheet cannot be measured based on quoted prices in active markets, their fair value is measured using valuation techniques including Discounted Cash Flow Model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing the fair values. Judgements include consideration of inputs such as liquidity risks, credit risks and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments. Further details are set out in note 42, page F248.

Leases

The Group evaluates if an arrangement qualifies to be a lease as per the requirements of Ind AS 116 "Leases". Identification of a lease requires significant judgement in assessing the terms and conditions of the arrangement including lease term, anticipated renewals and the applicable discount rate.

The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the Group uses incremental borrowing rate.

Retirement benefit obligations and assets

The Group's retirement benefit obligations and assets are subject to a number of assumptions including discount/interest rates, as applicable, inflation, salary growth and mortality rate. Significant assumptions are required when setting these criteria and a change in

NOTES

forming part of the consolidated financial statements

2. Material accounting policies (Contd.)

these assumptions would have a significant impact on the amount recorded in the Group's balance sheet and the consolidated statement of profit and loss. The Group sets these assumptions based on previous experience and third party actuarial advice. The assumptions are reviewed annually and adjusted following actuarial and experience changes. Further details on the Group's retirement benefit obligations and assets, including key assumptions are set out in note 36, page F220.

Allocation of consideration over the fair value of assets and liabilities acquired in a business combination

Assets and liabilities acquired pursuant to business combination are stated at the fair values determined as on the date of acquisition. The carrying values of assets and liabilities acquired are determined based on an estimate of valuation carried out by independent professional valuers appointed by the Group. The values are assessed based on the technical estimates of useful lives of tangible assets and benefits expected from the use of intangible assets. Other assets and liabilities are recognised at values that are expected to be realised or settled respectively.

(d) Basis of consolidation

The consolidated financial statements incorporate the financial statements of the Company and entities controlled by the Company i.e. its subsidiaries. It also includes the Group's share of profits, net assets and retained post acquisition reserves of joint arrangements and associates that are consolidated using the equity or proportionate method of consolidation, as applicable.

Control is achieved when the Company is exposed to, or has rights to the variable returns of the entity and the ability to affect those returns through its power to direct the relevant activities of the entity.

Associates are those companies over which the Company has the ability to exercise significant influence on the financial and operating policy decisions, which it does not control. Generally, significant influence is presumed to exist when the company holds more than 20% of the voting rights. Joint arrangements, which include joint ventures and joint operations, are those over whose activities the Company has joint control, typically under a contractual arrangement. In joint ventures, the Group

exercises joint control and has rights to the net assets of the arrangements. The investment is accounted for under the equity method and therefore recognised at cost at the date of acquisition and subsequently adjusted for the Group's share in undistributed earnings or losses since acquisition, less any impairment incurred. When the Group's share of losses exceeds the carrying value of such investments, the carrying value is reduced to Nil and recognition of future losses is discontinued, except to the extent that the Group has incurred obligation in respect of the associate/joint venture.

The results of subsidiaries, joint arrangements and associates acquired or disposed off during the year are included in the consolidated statement of profit and loss from the effective date of acquisition or up to the effective date of disposal, as appropriate.

Intra-group transactions, balances, income and expenses are eliminated on consolidation.

Non-controlling interests represent the portion of profit or loss and net assets not held by the Group and are presented separately in the consolidated financial statements.

(e) Business combinations

Acquisition of subsidiaries and businesses are accounted for using the acquisition method. The consideration transferred in each business combination is measured at the aggregate of the acquisition date fair values of assets transferred, liabilities incurred by the Group to the former owners of the acquiree and equity interests issued by the Group in exchange for control of the acquiree.

Acquisition related costs are recognised in the consolidated statement of profit and loss.

Goodwill arising on acquisition is recognised as an asset and measured at cost, being the excess of the consideration transferred in the business combination over the Group's interest in the net fair value of the identifiable assets acquired, liabilities assumed and contingent liabilities recognised, as applicable. Where the fair value of the identifiable assets and liabilities exceeds the cost of acquisition, after re-assessing the fair values of the net assets and contingent liabilities, the excess is recognised as capital reserve on consolidation.

The interest of non-controlling shareholders may be initially measured either at fair value or at the non-controlling